

approval from the Government, something that they have not got. The argument is that as per the Government's pricing policy Mukesh cannot sell at less than \$4.20 mmBtu. Anil has repeatedly rubbished the theory. His contention is that the \$4.20 per mmBtu tag is only a valuation price calculated on what the investment has been and what can be a fair return. This, his lawyers have argued, does not deter RIL from selling gas at a price they want to. Obviously price was not an issue when the proposal to supply gas was moved in October 2004 when the entity was one and recorded as a contract in the MOU. Post split, the contract went through much to-ing and fro-ing. To cut to the chase, by November 2006 it was clear that Anil was not getting the gas and approached the courts.

Since then the war was simmering in all its complexities in the courts. RIL questioned the validity of the MOU, held that the contract is subject to price clearance and gas utilisation policy of the Government. It backed its claim with rulings from two Empowered Group of Ministers that had set the price and the proportion of gas to be allocated to sectors as its gas utilisation policy. RNRL has, on the other hand, argued that the production sharing contract (PSC) allows the contractor to sell gas priced at arm's length process to whomsoever it wants and all that the Government is concerned with is the share of earnings.

But largely it was a private affair

**MUKESH AMBANI WITH
PRANAB MUKHERJEE**



FOTOCORP

MURLI'S MANTRAS

If the fight is between the Brothers Ambani, why has the government elbowed into the case? This is what it says:

ON GAS SUPPLY TO DADRI POWER PLANT

August 21, 2007

In the Rajya Sabha

Government is not a party to the agreement if any signed between Reliance Industries Ltd (RIL) and Reliance Natural Resources Ltd (RNRL). In terms of production sharing contracts (PSCs) signed by the Government under the New Exploration and Licensing Policy (NELP) regime, operators have freedom to market gas within India including Uttar Pradesh.

the suppliers and customers through a transparent bidding process, there should be no need for the Government to interfere.

ON SUPPLY OF GAS TO NTPC

April 22, 2008

In Rajya Sabha

It may be stated that provisions of PSC do not normally provide for the Government to determine the outcome of commercial transaction between buyer and seller. However, a plaint has been filed by NTPC against RIL before the Bombay High Court and the matter is sub-judice.

ON PRICING OF NATURAL GAS

August 16, 2007

In the Lok Sabha

PSCs provide for pricing of gas on arms length basis. The role of the Government is to approve the valuation of gas for the purpose of determining the Government take. In order to provide transparency in approving valuations, the Government formed a committee in August 2006 to formulate guidelines for approving natural gas price formula/basis for giving Government approval under the PSC. The committee has recommended that in all situations where a price discovery through competitive bidding is possible, there should be no need to apply any other principle for valuation of gas. Once a market-determined price has been discovered between

ON FREEDOM TO SELL GAS

April 22, 2008

In Rajya Sabha

As per provisions of the model PSC signed under the NELP, the contractor has the freedom to sell the gas in the domestic market on arms-length basis.

ON INTERVENTION IN NTPC-RIL CASE

April 22, 2008

In Rajya Sabha

The court case filed by NTPC against RIL is a commercial dispute between the two companies regarding gas supply agreement and the Government is not a party to this Gas Supply Agreement.